higher—levels of risk. This means that sometimes, you will receive lower returns or even losses.

This is how investing works. The inverse is that if you want safety you must accept the inevitability of *lower returns*. Failing to understand the simple trade-off between risk and reward is one of the biggest errors most individual investors make.

Not having a financial plan

Why are you investing in the stock market in the first place? Toward what end? For most savers and 401k investors, it is to a specific goal: Saving to buy a home, paying for the kids' college, or securing a comfortable retirement. If those GE employees had a long-term financial plan, they might have realized they were taking on much more risk than was necessary to achieve those goals.

Failing to appreciate diversification

Why didn't these people have a broadly diversified portfolio? Maybe they are afraid it shows a lack of loyalty to their corporate employer; perhaps it reflects a bit of a lottery-ticket mentality that your employer might be the next Apple, Amazon, or Alphabet.

Wishful thinking suggests diversification is giving up a potential fortune. But every worker who gets company stock also gets a salary from that same employer. Diversifying their company stock into broad indexes is a prudent approach. You won't become the next Jeff Bezos or Elon Musk, but you will have a happy, well-funded retirement.

The sort of heady gains and fall from grace that GE suffered is typical—it has happened many times at many different companies and will surely happen again. It may be hard to imagine today, but your great-grandkids